

Trading Edge Validation Template

1. Setup Overview

Setup name	A unique name or label you give this edge
Direction bias	Long / Short / Both
Market(s) traded	BTC, ES, NQ, ETH, etc.
Trigger condition	What signals entry? Footprint? Sweep + absorption? Range breakout?
Context required	Vol regime, time of day, news, structure, etc.
Invalidation logic	What makes this setup invalid?
Entry style	Aggressive / Passive / Hybrid
Exit criteria	Fixed target, structure-based, trailing, etc.

2. Performance Metrics (Sample-Based)

Sample size (n)	Number of trades tested
Win rate (%)	Trades that hit target / total
Avg R:R	Average reward:risk per trade
Expectancy (avg R per trade)	$[\text{Win}\% \times \text{avg win size}] - [\text{Loss}\% \times \text{avg loss size}]$
Std dev of outcomes	Are outcomes consistent or lumpy?
Max drawdown (R or %)	Peak-to-trough pain during test
MAE / MFE stats	Helps refine stop and target logic
Time to resolution (avg)	How long does trade take to resolve?
Strike rate by session	Which session performs best?
Setup frequency (per week)	How often it appears - matters for scalability

3. Qualitative & Contextual Observations

When does this setup fail?	List patterns in bad trades
When does it work best?	List ideal market conditions
Challenges you had?	Hard to Hold, Overtraded, etc
Execution notes	Any issues entering, slippage, etc.
Could this be automated?	Is it rules-based enough?
Scalability potential?	Would slippage affect this? Does size hurt it?